

EXECUTIVE SUMMARY

A. Introduction

The City of Manila was founded on June 24, 1571 as a municipal government; it became the first chartered City by virtue of the Philippine Commission Act 183 on July 31, 1901 and gained autonomy with the passage of Republic Act (RA) No. 409 or the “Revised Charter of the City of Manila” on June 18, 1949.

The personnel complement of the City in CY 2020 totaled 16,572 composed of the following:

	Executive Office	City Council	Total
Elected	2	37	39
Permanent	8,380	125	8,505
Co-Terminus	-	462	462
Temporary/Casual	66	-	66
Consultant	-	40	40
Contractual	82	5	87
Job Order	5,788	1,585	7,373
Total	14,318	2,254	16,572

B. Financial Highlights

	2020	2019	Increase/(Decrease)
Assets	P74,464,757,574	P67,492,137,416	P6,972,620,158
Liabilities	22,420,747,872	16,182,961,583	6,237,786,289
Equity	52,044,009,702	51,309,175,833	734,833,869
Income	15,888,791,653	16,556,924,350	668,132,697
Expenses	17,874,675,033	11,615,936,761	6,258,738,272
Transfers, Assistance and Subsidy from	292,600,487	-	292,600,487
Transfers, Assistance and Subsidy to	325,724,179	480,894,105	(155,169,926)

The total appropriations for the General Fund (GF) and Special Education Fund (SEF) of the City for CY 2020 totaled P19.229 billion. The obligations charged against these appropriations amounted to P18.066 billion:

	2020	2019	Increase/(Decrease)
Appropriations	19,228,702,046	22,232,284,289	(3,003,582,243)
Obligations	18,066,127,058	10,062,320,227	8,003,806,831

The total income of P18.215 billion collected during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	P7,721,427,819	P2,024,544,291	P9,745,972,110
Share from National Taxes	3,511,205,844	-	3,511,205,844
Service and Business Income	1,440,139,411	9,469,556	1,449,608,967
Shares, Grants and Donations	338,733,000	-	338,733,000
Gains	2,877,256,677	-	2,877,256,677
Miscellaneous Income	28,902		28,902
Total Income	P16,181,392,140	P2,034,013,847	P18,215,405,987

C. Operational Highlights

The City reported, among others, the following significant accomplishments:

- a. Coronavirus Disease 2019 (COVID-19) Response:
 - Provided 12 quarantine facilities with a total bed capacity of 545;
 - Converted the Canonigo covered court and Fugoso Delpan Complex as temporary shelters for street dwellers;
 - Installed washroom and comfort rooms at RASAC covered court for the locally stranded individuals;
 - Conducted mass swab testing for 22,207 market vendors, mall workers, hotel employees and public transport drivers;
 - Opened the Manila Drive-Thru Testing Area;
 - Distributed 453,917 food packs from March 22 to May 31, 2020;
 - Distributed Social Amelioration Program/Monthly Monetary Allowance to 149,566 senior citizens (SCs) from September 11 to December 4, 2020; and
 - Distributed tablets, 25,084 laptop tables and 21,588 school supplies to the students of 117 barangays.
- b. Awarded lot located at Havana Estate (Yutivo), Sta. Ana, Manila to 34 families through the Land-for -the-Landless Program;
- c. Entered into a Memorandum of Agreement (MOA) with various food companies to provide careers for 335 SCs and 82 persons with disabilities (PWDs);
- d. Entered into a MOA with Foodpanda and Grab to provide livelihood to 753 and 571 tricycle divers, respectively, who have lost jobs due to enhanced community quarantine;

- e. Granted P100,000.00 cash gift for eighteen centenarians;
- f. Installed real time Air Quality Monitoring Station at Mehan Garden;
- g. Construction/ Repair/ rehabilitation/ improvement/ upgrading/ installation of various structures and facilities:
 - Construction of 15-storey housing project – Tondominium 1 & 2;
 - Construction of 15-storey housing project – Binondominium 1;
 - Construction of 10-storey Ospital ng Maynila Medical Center;
 - Renovation of 2nd Floor Dialysis Building at Gat Andres Bonifacio Memorial Medical Center;
 - Opening of the New Foreshore Super Health Centre and Lying-In Clinic in Tondo, Manila with the help of SM Foundation;
 - Redevelopment of the five-hectare Manila Zoological and Botanical Garden;
 - Rehabilitation of twelve projects/1,833 square meters government facilities and offices, three parks and playgrounds, and two sports complex;
 - Installation of 22,000 LED solar-powered road studs on five streets;
 - Installation of solar roofing panel on 19 high school and elementary schools;
 - Installation and repair of 2,390 streetlights; and
 - Bundling of wires and cable operations on 30 major streets.
- h. The City received the following awards/recognitions during the year:
 - Asia Leaders Awards 2020
Honorable City Mayor Francisco “Isko Moreno” Domagoso as Man of the Year
 - City and Municipalities Competitiveness Index 2020
For Highly Urbanized Cities Category:
1st Place – Overall Competitiveness Award
1st Place – Most Competitive in Government Efficiency Award
1st Place – Most Competitive in Infrastructure Award
3rd Place – Most Competitive in Economic Dynamism
3rd Place – Most Competitive in Resiliency
 - 9th Digital Governance Award 2020
2nd Place – Best in Government Internal Process – Go! Manila mobile application
2nd Place – Best in Customer Empowerment – Go! Manila mobile application
2nd Place – Best in LGU Internal Processes
 - Association of Tourism Officers of the Philippines – 21st Annual National Convention
Grand Winner – Move Your Destination Forward! video contest

- Philippine Chamber of Commerce and Industry: Gawad Bayaning Kalusugan
- Sta. Ana Hospital Manila COVID Warriors

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Manila for the period January 1 to December 31, 2020. The objectives of the audit are to: (a) be able to lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements (FS) as of December 31, 2020 due to: (a) the accounting errors that misstated the affected cash-in-bank account balances; and (b) the accounting deficiencies that weigh on the quality of information presented in these FS. These accounting errors and deficiencies are discussed in detail in Part II of the report, and summarized as follows:

1. Accounting errors in recording cash-in-bank (CiB) transactions amounting to P66,815,141.99 resulted in the misstatement of affected CiB accounts and weighed on the fair presentation of these accounts in the City's FS.

We recommended that Management:

- a. Prepare the adjusting entry to record the 6,169 checks with a total amount of P5,912,799.87 in the Check Disbursements Journal;
 - b. Adopt preventive and corrective measures to address the deficiencies in accounting for the CiB; and
 - c. submit supporting documents as basis for recording of the transactions from CYs 2014 to CY 2020 in the amount of P60,902,342.12.
2. Deficiencies in accounting for property, plant and equipment (PPE) undermine the quality of PPE information presented in the City's FS.

We recommended that Management:

- a. Provide depreciation for the 4,087 depreciable PPE items totaling P10,262,638,264.46;

- b. In the absence of documents establishing the acquisition cost of four PPE items with nominal costs totaling P20,061.43, measure these PPE using their fair value and disclose the valuation in the Notes to FS;
- c. Record PPE individually in the PPE records; and
- d. Instruct the Office of the City Accountant and City General Services Office to indicate in their PPE records the condition of the PPE using common condition codes as well as the information listed in paragraph 2.3.2, Part II of this report.

F. Other Significant Observations and Recommendations

1. The Joint Venture Agreement (JVA) entered into by the City of Manila with B. Braun Avitum Philippines, Inc. (BBAPI) does not have certain provisions prescribed in City Ordinance No. 8346 and has unclear and inadequate stipulations which are disadvantageous to the interest of the City.

Pursuant to paragraph 10 of the JVA, we recommended that Management come up with JVA addendum/amendments or similar binding document to correct the provisions and deficiencies therein that work against the interest of the City with the end view of, among others:

- a. increasing the City share in the revenue of the joint venture (JV) commensurate to the City's contribution/investment therein; and
- b. taking-over the procurement of pharmaceuticals and other consumable items utilized in the dialysis of patients to: (i) conform with the relevant provisions of RA No. 9184; and (ii) ensure reasonable pricing and compliance to quality standards of these items.

If BBAPI refuses the correction of the foregoing provisions and deficiencies therein that work against the interest of the City, terminate the JVA but ensuring in the process the uninterrupted dialysis treatment services by the City.

2. Unsubmitted documents supporting the JVA with JBROS Construction Corporation for the Arroceros Compound Mixed-Use Development prevented the full evaluation of and casts doubt on the validity of the Swiss Challenge to which such JV project was subjected. Further, the continuing failure of the JBROS to perform its obligations under the JVA deprives the City beneficial use of the Arroceros Compound; and the City has not fully protected its interest by its failure to require JBROS to post performance bond covering the period within which the latter is obligated to complete the joint venture project.

We recommended that the City:

- a. Submit the documents enumerated in paragraph 4.7 to establish the validity of the Swiss Challenge;
- b. Rescind the JVA in view of the continuing failure of the JBROS to perform its obligations under this JVA and in order to realize beneficial gain from the herein Arroceros Compound; and
- c. Prospectively, protect reasonably the interest of the City by ensuring that JVAs are adequately bonded.

The aforementioned observations together with the corresponding recommendations were discussed with Management officials concerned during the exit conference on August 5, 2021. Management views and comments were incorporated in the report, where appropriate.

G. Summary of Suspensions, Disallowances and Charges as of year-end

The audit suspensions, disallowances and charges amounting to P42.538 million, P67.166 million and P31.317 million, respectively, remained unsettled by the concerned officers/employees and third parties determined to be liable thereto due to the inability of the Management to fully enforce settlement of the same as required under Section 7.1.1 of COA Circular No. 2009-006 dated September 15, 2009.

H. Status of Implementation of Prior Years' Audit Recommendations

Of the 79 prior years' audit recommendations contained in the 2017, 2018 and 2019 Annual Audit Reports, 23 or 29.11 percent were fully implemented, 32 or 40.51 percent were partially implemented and 24 or 30.38 percent were unimplemented.